

M3: Sourcing Automation Requirements

Scope confirmed in session: Reactive only for MVP - this is a workbench for the sourcing team to find re-sourcing opportunities on spend that's already happened, not a proactive point-of-need buying recommendation engine. Proactive recommendations are explicitly deferred to a future guided-buying/centralized-intake capability outside this tool's MVP scope.

Epic 1: Non-Catalog Spend with Catalog Equivalent Detection

Description: Identify non-catalog purchases that have an equivalent item already available in the Coupa catalog, so sourcing teams can redirect future spend and quantify savings.

Backed by: `Item`, `SupplierItem`, `SourcingOpportunity`, `gold_sourcing_opportunity`, `Requisition` (non-catalog flag)

User Stories

- As a Sourcing Associate, I want to see non-catalog purchases that match an existing catalog item, so I can redirect that spend to the preferred catalog option for future purchases.
- As a Sourcing Associate, I want the dollar value of historical and projected savings shown alongside each match, so I can prioritize which opportunities to act on first.
- As a Sourcing Associate, I want to see how frequently a given non-catalog/catalog-equivalent pattern has occurred, so I understand whether it's a one-off or a recurring leakage pattern.
- As a Sourcing Associate, I want non-catalog line items matched to catalog equivalents even when worded differently, so I don't miss a match just because of inconsistent naming.

Epic 2: Contract Leakage and Reroute Recommendations

Description: Surface spend happening outside preferred or active contract coverage so sourcing teams can reroute it or pursue a new contract.

Backed by: `ContractCoverage`, `contract_coverage` metric, `gold_contract_coverage_metric`, `SourcingOpportunity`

User Stories

- As a Sourcing Associate, I want to see spend occurring outside of preferred contract coverage for my category, so I can identify reroute or renegotiation candidates.
- As a Sourcing Associate, I want the size-of-the-prize (potential savings) calculated for each leakage opportunity, so I can build a business case without manually running reports.

- **Note:** Can use Carlos's facilities example (spend volume x estimated discount rate) as the model
- As a Sourcing Associate, I want to see when spend is approaching a rebate or volume-tier threshold, so we don't miss pricing we've already earned.

Epic 3: Supplier Consolidation Opportunities

Description: Identify cases where the same item or service is being purchased from multiple suppliers, surfacing consolidation opportunities.

Backed by: SupplierProfile , supplier_concentration metric, SpendFact

User Stories

- As a Sourcing Associate, I want to see when the same item/category is sourced from multiple suppliers, so I can evaluate whether consolidating to fewer suppliers would improve pricing or terms.
- As a Sourcing Associate, I want supplier concentration shown by category, so I can see where buying power is fragmented versus already consolidated.
- As a Sourcing Associate, I want to see when the same item is purchased separately across multiple locations/divisions, so I can pursue enterprise-level pricing instead of fragmented buys.
- As a Sourcing Associate, I want to see when frequent small orders from a non-preferred vendor are losing a volume discount available through a preferred vendor, so I can consolidate the buy.

Epic 4: Recommendation Feedback and Outlier Learning

Description: Let category managers dismiss a recommendation with a reason (e.g. one-off emergency buy) so the system treats it as an outlier and doesn't keep resurfacing it.

Backed by: ActionRequest

User Stories

- As a Sourcing Associate, I want to dismiss a recommendation and provide a reason (e.g. "emergency purchase, only available vendor"), so the system stops treating that transaction as an ongoing opportunity.
- As a Data/AI Engineer, I want dismissed recommendations with reasons captured as structured feedback, so future recommendation logic can learn to exclude similar one-off patterns.

- As a Sourcing Associate, I want to see the audit trail of past dismissals and their reasons for my category, so I (or a teammate) don't have to re-litigate the same judgment call later.

Epic 5: Total Landed Cost Comparison

Description: Flag purchases where a lower unit price is offset by shipping or freight costs not visible until invoice, so associates see true landed cost rather than sticker price.

Backed by: Invoice , PurchaseOrder , SpendFact (would need shipping/freight line-item detail - likely depends on Document Digitization's invoice line extraction)

User Stories

- As a Sourcing Associate, I want to see when a "cheaper" vendor's total cost (including shipping) is actually higher than a preferred vendor's, so I can correct sourcing decisions made on unit price alone.

Cross-Epic Open Items

- Recommendation dollar threshold not yet defined - near-term simple rule vs. Carlos's future capacity-based model (available sourcing resources + \$1B/3-year savings target to reverse-engineer priority) needs a decision.
- Schedule walkthrough of Carlos's existing catalog/invoice mapping tool (facilities example) to inform Epic 4/5 logic.
- Beroe market-rate data integration timing TBD
- In-system RFP creation assistance (backlog, explicitly future state, not MVP) - would extend Epic 2/3 "acting on it" workflow.